



THE WORLD IN 2030

The policy implications are that India would have to maintain a strong link to a re-industrialising US but find a way to use Chinese capital and inputs

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AS WE TURN into the year 2025, we will be approaching the mid-point of the decade, and it is time to take a broader view of the world. The events of the first half of the decade were dominated by the Covid-19 pandemic and the economic and political aftermath. It also witnessed several important shifts in the technological and geopolitical spaces, many of which were in the making in the previous decades but came to fruition in recent years: The rise of China as a full-fledged global power and the spread of higher-order digital technologies such as artificial intelligence (AI).

Some changes since the beginning of this decade have been so all-encompassing that many of us forget how recently they took place. The use of Zoom and similar video-conferencing platforms is now ubiquitous, but it was only during the Covid lockdown in 2020 that most people became fully comfortable with the daily use of videoconferencing. Simi-

larly, in India at least, we witnessed a dramatic shift to digital payments. Many younger readers of this column will probably have little use for cash other than the token “emergency money” in their wallet.

So, what could we see in the second half of the decade? As they say, forecasting is difficult, especially when it comes to the future. At the risk of being mocked five years hence, here are some likely scenarios for 2030:

First, China will have bypassed the US by 2030 to become the world’s largest economy in nominal dollar terms (it is already the largest in purchasing power parity terms). India will be a distant third but still the fastest-growing major economy. However, despite the loss of economic preeminence, the US dollar will remain the world’s anchor currency. Anchor currencies often outlive the dominance of their home country—Roman, Spanish, and British money continued to enjoy widespread usage decades after their empire had been superseded by others. The British pound, for instance, remained the world’s most important reserve currency into the 1950s even though the British economy had lost its dominance by the time of the First World War.

Second, having reached the number one spot, China will be struggling to maintain domestic growth by 2030. The demographic decline of China will be taking a larger bite by this point. Any attempt to reverse it,

even if successful, would only pull out childbearing-age women from an already shrinking workforce.

Meanwhile, Chinese policymakers will discover the limits of mercantilism. A dominant, export-driven economy cannot keep growing faster than the overall world economy even if there were no barriers put up by trading partners. My guess, and it is only a guess, is that the Chinese will end up dumping capital on the global financial system in an attempt to shore up demand for its overproduction and to give itself financial leverage abroad. A current account surplus having to be balanced by sustained capital outflow. The problem is that a currency cannot become a global anchor currency unless it derives from a systematic current account deficit—the large US dollar-denominated reserves of various countries (including China and India) were made possible by the US running twin deficits on fiscal and current accounts. After all, a currency is the liability of the issuing central bank, and a world currency comes into widespread use precisely because the issuing country is willing to run a deficit.

In theory, the Chinese Yuan (CNY) can be supplied to the world through capital flows, but supplying large quantities of CNY to the world purely through capital flows would require a willingness of the Chinese authorities to overlook frequent defaults by recipients (they have already faced this). In the end, the Chinese would have to consider a very differ-